FACT POLICY BRIEF

Compliance by Design

Why businesses fail to report income, and why the answer lies in tax administration as state infrastructure

Lindsay M. Tedds
Professor, Department of Economics, University of Calgary
Project Director, Fair and Accountable Canadian Taxation (FACT) Partnership
Co-founder, INCLUSIECON
factpartnership.ca · inclusiecon.ca · lindsaytedds.ca

Speaking notes and supporting brief · Standing Senate Committee on Banking, Commerce and the Economy · Study on Canada's underground economy · Appearance of October 28, 2026

PART 1

Opening remarks

SPEAKING NOTES · CHECK AGAINST DELIVERY

Thank you, Mr. Chair, and honourable senators.

I'm Lindsay Tedds, professor of economics at the University of Calgary and project director of the Fair and Accountable Canadian Taxation partnership.

I began my career estimating the size of the underground economy. My research now focuses on how tax and benefit administration is designed, and how that design shapes equity and access: who complies, who receives the benefits they are owed, and who falls through.

When you look at tax administration as state infrastructure, the system that both collects taxes and delivers benefits, these matters are clearly interconnected. I hope to show you why.

Your members have asked why businesses fail to report income. The answer starts with how the system was built.

Canada's income tax dates from 1917. It is still built on self-assessment: an annual return that people complete themselves, long after they have been paid.

For employees, the employer has already reported their pay and withheld the tax. Their return mostly confirms what the Canada Revenue Agency already knows. For the self-employed, the return is often the only record the agency has.

In the United Kingdom, which measures this every year with random audits, the tax gap on wages reported through real-time payroll is one per cent. On self-employment income, it is twenty-nine per cent.

The Canada Revenue Agency's own tax gap report, released this March, says the same about Canada.

So this is less about character than about design. Wage earners aren't more honest than the contractor renovating your kitchen. Their income is visible to the tax authority.

We can elicit compliance through the measures and means we choose: reporting by whoever pays, withholding at source, records at the point of sale, pre-filled returns, and compliance as a condition of contracting.

Quebec shows how this works. Since 2011 it has required certified billing in every restaurant. Reported sales rose by six to ten per cent, and Revenu Québec now sees each restaurant bill in real time.

This also matters for this committee's mandate. A business that hides its income can't show that income to a lender. Your own study found that small businesses struggle to get credit. Visible income is part of the answer.

In Canada, this matters for more than tax. The Canada Revenue Agency doesn't only collect tax. It delivers the Canada Child Benefit, the Canada Groceries and Essentials Benefit and the Canada Workers Benefit. The new Canada Disability Benefit depends on tax filing.

Tax administration, compliance and benefit delivery all run on the same information. With colleagues including Gillian Petit, Jennifer Robson, David Green and Jonathan Kesselman, I've spent years on that connection.

In the agency's figures, about eighty per cent of the underground income tax gap is wages paid to employees. When those wages are invisible, the tax goes uncollected. The same worker also loses Employment Insurance, pension credits and the benefits the agency is trying to deliver.

We collect taxes and pay benefits through the same agency, using the same information. Until we design it as one system, we'll keep solving the same problem in pieces.

Several of our peers have already built this. The United Kingdom has had real-time payroll reporting since 2013. Since 2014, Estonia has required every employer to register each worker with the tax authority, and workers can check that they've been registered. Envelope wages fell sharply within a year.

The United States has required every employer to report new hires since 1996. Canada's Department of Justice studied that model in 2002. Today our version is voluntary. And Canada is still designing its real-time payroll system, known as ePayroll.

We also don't measure whether our tools work. The agency's estimate for small and medium businesses still rests on a random audit of tax year 2011.

I'd suggest four things.

First, build ePayroll and the 2024 digital platform reporting rules as shared infrastructure for compliance and benefits.

Second, extend visibility where cash still dominates, starting with point-of-sale records like Quebec's.

Third, restore a regular, published random audit program, and give researchers secure access to the agency's audit and compliance data, so we know what works.

Fourth, enforce what is already law. Businesses must report the fees they pay for services over five hundred dollars a year. But the agency has not penalized anyone for skipping it since 2011, except recently in trucking. Make that reporting automatic through payroll and accounting software, so it costs small businesses nothing extra.

We will not eliminate every cash transaction. But most of this gap can be closed.

Compliance is not a matter of character. It is something we can design for.

My written brief, attached, sets out the data and the international examples.

Thank you. I look forward to your questions.

PART 2

Anticipated questions

Will this add paperwork for small businesses?

It should reduce it. Most of the reporting burden comes from preparing the same information repeatedly for different obligations. Australia's Standard Business Reporting builds government reporting rules into accounting software so that information is "recorded once, reported to many" (Australian Government, 2012, p. iv). Its early savings were overstated and voluntary uptake was slow (Evans et al., 2012), which argues for a single required standard built into certified software, the approach the United Kingdom has taken with Making Tax Digital (KPMG, 2025). Reporting obligations should rest with the payroll providers, payment processors and platforms that already hold the data.

Can the CRA manage more information, given its service record?

Automated matching reduces the CRA's manual workload rather than adding to it. The T1 matching program, which compares returns with information slips, returns $46 for every dollar spent (CRA, 2026a). Better information at the time of filing should also reduce the reassessments, benefit recoveries and enquiries that follow from errors discovered later.

Why focus on small businesses when large corporations account for most of the corporate reporting gap?

The committee asked about unreported income, which is concentrated where third-party reporting is weakest. The measures proposed here also reach well beyond small business: about 80 per cent of the underground personal income tax gap relates to wages paid to employees (CRA, 2026a). The large-corporation gap ($17.2 billion of the $22.6 billion corporate reporting gap) is estimated from risk-based audits and raises different questions (CRA, 2026a). It warrants its own study.

Are random audits fair to businesses that comply?

Random audit programs use small samples. The United Kingdom's program for small-company corporation tax covers roughly 330 companies a year (Tax Policy Associates, 2026). They are the only way to measure compliance without the bias of risk-based selection; the CRA notes that results from risk-based audits cannot be directly extrapolated to the population (CRA, 2026a).

Is this surveillance? What about privacy?

Most of what is proposed extends the kind of information the CRA already receives for every employee through the T4 system. Taxpayer information is protected under section 241 of the *Income Tax Act*, and any new sharing with benefit programs or researchers would have to fit within those rules or be authorized by Parliament. The central questions concern governance, including what is collected, who may use it and how it is protected (Petit et al., 2026).

Who pays for point-of-sale systems?

Quebec subsidized the purchase of modules and compatible equipment (Ryan, 2011), and Boyer and d'Astous (2023) find that the one-time cost of the device is small relative to the recurring benefit to tax authorities. Quebec's current cloud-based system works with certified point-of-sale software, which lowers the cost further (Revenu Québec, n.d.-a).

Would extending Quebec's model intrude on provincial jurisdiction?

The GST is a federal tax. Revenu Québec administers it in Quebec, and the CRA administers the HST in participating provinces. A billing requirement for GST/HST purposes would be a federal measure, and provinces with their own sales taxes could choose to align with it. Designing it with the provinces would avoid duplicate systems.

Which recommendations require legislation?

Ending the 2011 moratorium on fees-for-service penalties and restoring random audits are administrative decisions for the CRA. A federal billing requirement, mandatory new-hire reporting and wider use of tax data for benefit delivery or research would likely require legislation or regulatory change, including attention to section 241 of the *Income Tax Act*. Section 9 of the brief identifies who would act on each recommendation.

Don't researchers already have access to tax data?

Researchers can use de-identified tax-filer data, such as the Longitudinal Administrative Databank, in Statistics Canada's Research Data Centres (CRDCN, n.d.). The CRA's audit and compliance data are not available there, and those are the data needed to study who underreports and whether enforcement and reporting measures work.

Estonia is a small country. Is it a relevant comparison?

What transfers is the architecture. Estonia's X-Road data-exchange layer has been exported to other countries and federated with Finland's system (TechCentral, n.d.). The relevant lesson is that pre-filled returns, an employment register and digital public services run on shared infrastructure.

PART 3

Supporting brief

SUMMARY

The committee asked why businesses fail to report income. The evidence points to how tax administration is designed. Income that a third party reports to the tax authority is reported almost in full, while income known only to the person who earns it is frequently understated. In the United Kingdom, which measures compliance each year through random audits, the tax gap on wages reported through real-time payroll is 1.0 per cent and the gap on self-employment income is 29.2 per cent (HM Revenue & Customs [HMRC], 2026). Canada's income tax still rests on a self-assessment process that has remained "fundamentally unchanged since 1918" (Tedds et al., 2022, p. 1).

The Canada Revenue Agency (CRA) also delivers most income-tested federal benefits, so the information gaps that allow income to go unreported also cause benefits to be missed or mistimed. Canada already has several of the tools needed to close those gaps, including third-party information slips, Quebec's mandatory billing system, construction and government contract reporting and the new digital platform rules. These tools were built separately, some are not enforced and few have been evaluated.

Recommendations

1. Build ePayroll and the digital platform reporting rules as shared infrastructure for compliance and benefit delivery, and publish evaluations of both.
2. Extend visibility in sectors where cash sales to final consumers dominate, using Quebec's mandatory billing system as the Canadian model.
3. Restore a regular, published random audit program for small and medium-sized businesses and the self-employed, and give accredited researchers secure access to the CRA's audit and compliance data.
4. Enforce reporting that is already required by law by ending the 2011 moratorium on penalties for unreported fees for services, and deliver all business reporting through a single standard built into payroll, accounting and point-of-sale software, so that information is recorded once and reported to every agency that needs it.
5. Over the longer term, review tax and benefit administration as a single system, including a move toward administrative assessment and mandatory new-hire reporting.

1. The question before the committee

I began my career estimating the size of Canada's underground economy (Giles & Tedds, 2002). Estimates of that kind indicate how large the problem is but say little about who fails to report income or why.

Statistics Canada estimates that underground economic activity amounted to $72.4 billion in 2023, or 2.5 per cent of gross domestic product, and describes the figure as an upper bound (Statistics Canada, 2025). Residential construction accounted for 32.7 per cent of that activity, followed by finance, insurance and real estate (largely unreported rent) at 15.3 per cent, retail trade at 10.5 per cent and accommodation and food services at 8.0 per cent. The same four industries have been the largest contributors since 1992. Almost half of unreported income ($32.7 billion, or 45.2 per cent) went to employees as undeclared wages and tips (Statistics Canada, 2025).

These figures describe the size and composition of the underground economy. This brief addresses the committee's question about behaviour and then sets that question in the wider context of how Canada administers taxes and benefits together.

2. A self-assessment system dating from 1917

Canada introduced a federal income tax under the *Income War Tax Act* (1917). Under the administrative model in place since the first returns were filed, each person completes an annual return, reports their own income and calculates the amount owed or refundable. In work for the Social Sciences and Humanities Research Council (SSHRC) and the Future Skills Centre, Marin Flaim, Gillian Petit and I described this self-assessment process as having "remained fundamentally unchanged since 1918" (Tedds et al., 2022, p. 1).

For most employees the annual return largely confirms information the CRA already holds, because the employer has reported their pay on a T4 slip and withheld tax at source. For the self-employed the return is often the only record available to the CRA. The CRA draws the same distinction in its own analysis. It notes that the personal income tax system relies heavily on arm's-length third-party reporting, treats income verified in this way as "tax assured," and locates most of the reporting gap in income that is not assured, such as income earned in the underground economy (CRA, 2026a, section 3.1.1).

3. Third-party reporting and compliance

Tax administrations that measure compliance at the level of individual taxpayers report a consistent relationship between third-party reporting and accurate reporting.

- **United States.** The Internal Revenue Service's random audit program finds a net misreporting rate of about 1 per cent for wages, which are subject to both information reporting and withholding. The rate is about 6 per cent for income subject to substantial information reporting without withholding and about 55 per cent for income with little or no information reporting, such as non-farm sole proprietor income (Internal Revenue Service [IRS], 2022).
- **United Kingdom.** The gap for income tax and National Insurance collected through real-time payroll (PAYE) was 1.0 per cent of liabilities in 2024–25, compared with 29.2 per cent for self-employed taxpayers and small partnerships filing Self Assessment. Random enquiries found under-declared liability on 42 per cent of self-employed returns in 2022–23 (HMRC, 2026).

- **Denmark.** A randomized audit experiment found evasion close to zero for income subject to third-party reporting and substantial evasion for self-reported income (Kleven et al., 2011). Kleven et al. (2016) argue that reporting by firms acting as fiscal intermediaries largely explains how modern governments are able to collect high levels of tax.
- **Chile.** Pomeranz (2015) shows that the paper trail created by the value-added tax, in which one firm's reported purchase is another firm's reported sale, discourages misreporting by both parties. Slemrod (2019) reviews the wider literature.

Canadian figures follow the same pattern. The CRA estimates that the underground economy accounted for $9.8 billion of the personal income tax gap in tax year 2022, or 4.7 per cent of federal personal income tax revenue. Around 80 per cent of this amount relates to compensation paid to employees and around 20 per cent to self-employment income, while the self-employed made up only 13 to 15 per cent of the population over the period (CRA, 2026a). Earlier Canadian research using household expenditure data also found substantial non-compliance among the self-employed, varying by occupation and age (Schuetze, 2002).

Wage earners are not more honest than the contractor who renovates a kitchen; their income is simply visible to the tax authority. Tax rates, complexity and attitudes toward the tax system matter at the margin, but the evidence indicates that whether income is reported depends mainly on whether a third party also reports it.

4. What Canada's estimates can and cannot show

The CRA's second overall tax gap report, published in March 2026, estimates a gross federal tax gap of $59.5 billion in tax year 2022 (16.0 per cent of federal tax revenue) and a projected net gap of $34.7 billion (9.3 per cent) after compliance and collection activity (CRA, 2026a). The report improves transparency considerably. Its methods also show how limited Canada's direct evidence on business compliance remains.

- **The underground economy component is derived from Statistics Canada's estimates** rather than observed in tax returns (CRA, 2026a). Statistics Canada builds those estimates within the national accounts according to international standards and presents them as upper bounds (Luo et al., 2024; Statistics Canada, 2025).
- **The estimate for small and medium-sized enterprises (SMEs) rests on a single random audit of tax year 2011.** In that audit, 37.6 per cent of audited SMEs were assessed additional federal tax, with average assessments of between $1,690 and $2,160 (CRA, 2022). Estimates for later years are projected using the growth of reported tax and the growth of Statistics Canada's underground economy series (CRA, 2026a). The decline in SME non-compliance reported for 2021 and 2022 therefore reflects slower growth in the underground economy series relative to reported income, and does not rest on new audit evidence.
- **The estimate for large corporations addresses a separate issue.** Of the $22.6 billion corporate reporting gap, $17.2 billion is attributed to large corporations and $5.4 billion to SMEs. The large-corporation figure is estimated from risk-based audits with statistical corrections (CRA, 2026a). It

matters for revenue and for fairness, but it is measured differently and raises different questions from income that goes unreported in the underground economy. It warrants separate study, which the committee may wish to undertake.

In effect, Canada's measures of business non-compliance depend on one macroeconomic series and an audit now fifteen years old. The United Kingdom has published annual tax gap estimates since 2009, based on random enquiry programs covering Self Assessment, small companies and small employers (HMRC, 2026), and the United States maintains its National Research Program (IRS, 2022). Canada has a reasonable estimate of the size of the problem and little current evidence on who does not report or why.

The CRA's own evaluation of construction-sector reporting shows the same gap in measurement. Under the Contract Payment Reporting System, construction businesses report payments to subcontractors on T5018 slips. The system began on a voluntary basis in 1995 and became mandatory on January 1, 1999 (CRA, 2005). By 2005 it had generated more than $650 million in assessments, 95 per cent of which came from identifying non-filers. The same evaluation found that penalties for late or missing returns had been applied in only two cases, that the accuracy of reported payments was not being verified and that the program's effect on voluntary compliance had not been measured (CRA, 2005).

5. Designing for compliance

If third-party information drives compliance, governments can raise compliance through the administrative measures they adopt. These measures include:

- reporting by payers, through information slips from employers, financial institutions, contractors and platforms;
- withholding of tax at source;
- certified point-of-sale systems that transmit transactions to the tax authority;
- pre-filled returns based on information the tax authority already holds;
- proof of good tax standing as a condition of being awarded or paid for a contract; and
- matching of returns against third-party data. The CRA's T1 matching program returns an average of $46 for every dollar spent (CRA, 2026a).

Only matching resembles enforcement in the conventional sense. The other measures operate before a taxpayer files, and most of them reduce compliance costs for businesses that already comply.

Quebec

Since November 1, 2011, Quebec has required restaurants covered by its mandatory billing measures to produce every bill through a certified sales recording module and to send Revenu Québec a monthly sales summary (Ainsworth, 2009; Revenu Québec, 2013). Revenu Québec estimated revenue losses in the restaurant sector at $420 million in 2008–09. By February 2013,

nearly 33,000 modules had been installed in more than 19,000 establishments, and Revenu Québec projected more than $2.3 billion in additional revenue by 2018–19 (Revenu Québec, 2013). Quebec subsidized the purchase of modules and compatible equipment, with higher amounts for restaurants that activated their modules early (Ryan, 2011).

Boyer and d'Astous (2023) evaluate the measure using anonymized tax data, comparing restaurants in Quebec with those in the rest of eastern Canada. They estimate that the modules increased reported sales by 5.8 to 9.8 per cent on average. Reported expenses, including wages, rose by a similar amount, so taxable income changed little. The authors interpret this as evidence that enforcement at the firm level extended to employees and suppliers, whose income also became visible, and they find that the one-time cost of the device is small relative to the recurring benefit to tax authorities (Boyer & d'Astous, 2023).

Quebec has since moved to a cloud-based system (WEB-SRM), under which certified systems transmit transaction data to Revenu Québec continuously. Mandatory billing now also applies to remunerated passenger transportation, and taxi operators have been required to use second-generation certified systems since January 1, 2026 (Revenu Québec, n.d.-a). Quebec also makes tax compliance a condition of contracting. Contractors on public construction contracts worth $25,000 or more, and their subcontractors, must hold an attestation from Revenu Québec (Regulation to amend the Regulation respecting construction contracts of public bodies, 2011). Since 2016 the requirement has applied to licensed subcontractors on private construction contracts, and contractors must verify the attestation (Revenu Québec, n.d.-b).

Because Revenu Québec also administers the GST in Quebec, the federal government already shares in these results. Quebec's experience demonstrates that these measures can be implemented within the Canadian federation.

Federal reporting requirements already in place

Much of the legal framework for third-party reporting already exists at the federal level.

- Federal departments, agencies and Crown corporations report service contract payments of more than $500 a year on the T1204 slip, a requirement announced in the February 1998 budget (CRA, 2005, n.d.-b).
- Construction businesses report payments to subcontractors on the T5018 slip (CRA, 2005, n.d.-c).
- Since January 1, 2024, digital platform operators have been required to collect and report information on sellers in the sharing and gig economy under rules based on the model of the Organisation for Economic Co-operation and Development (OECD). The first returns were due January 31, 2025 (CRA, n.d.-d; Ernst & Young, 2023).
- Businesses and organizations that pay another business more than $500 a year for services are legally required to report those fees, usually on a T4A slip. Since 2011, however, the CRA has maintained a moratorium on penalties for failing to report them, which it has lifted only for the trucking industry following Budget 2025 (CRA, n.d.-a).

The fees-for-service requirement amounts to broad business-to-business reporting that has gone unenforced for fifteen years. Ending the moratorium, together with automated reporting through accounting and payroll software, would be among the least costly reforms available.

Recording once, reporting to many

Most of the cost of compliance for small businesses comes from preparing the same information repeatedly for different obligations, including payroll remittances, information slips, GST/HST returns, Records of Employment and statistical surveys. Reporting built into the accounting, payroll and point-of-sale software that businesses already use, or should use, removes most of that cost. Australia introduced Standard Business Reporting in 2010 on the principle that information should be "recorded once, reported to many" (Australian Government, 2012, p. iv). Government reporting rules are built into business software, which prepares reports from data already recorded in the course of running the business (Standard Business Reporting, n.d.). The government projected savings to business of nearly $800 million a year once the system was fully implemented (Australian Treasury, 2010). An independent evaluation found that this projection was overstated and that awareness among businesses was low in the early years, when participation was voluntary (Evans et al., 2012). The United Kingdom has instead required digital record-keeping through Making Tax Digital, first for VAT and now for income tax (KPMG, 2025). The lesson for Canada is to adopt a single reporting standard, build it into certified software and make its use the norm rather than an option.

Limits

None of these measures reaches cash paid by a household directly to a tradesperson. The CRA's 2005 evaluation acknowledged that construction reporting does not capture transactions deliberately concealed by both parties (CRA, 2005). Residential renovation remains the most difficult part of the problem in every jurisdiction, and administrative design can be expected to narrow the gap rather than eliminate it.

6. International comparisons

Several comparable jurisdictions have built this infrastructure, and some use it for benefit administration as well as taxation.

Jurisdiction	Measure	What it does	Source
United Kingdom	Real Time Information (April 2013)	Employers send payroll information to HMRC in real time each time they pay employees	HMRC (2014)
Estonia	Employment register (July 2014)	Every employer registers each worker with the tax authority; workers can check their own registration	Eurofound (2015)
Estonia	VAT annex KMD INF (November 2014)	Monthly invoice-level reporting of transactions over €1,000 with each business partner	Telfa (n.d.)

Jurisdiction	Measure	What it does	Source
Estonia	Entrepreneur account	Bank withholds and remits tax on individuals' business income automatically; no returns to file	Estonian Tax and Customs Board (n.d.); ERR News (2022)
United States	New-hire reporting (1996)	Every employer reports each new hire within 20 days; used for child support and to stop unemployment insurance overpayments	U.S. Department of Labor (2000)
California	Independent contractor reporting	Businesses report contractors paid $600 or more within 20 days	California Employment Development Department (n.d.)
OECD	Pre-filled returns	Close to 90 per cent of administrations surveyed pre-fill personal income tax returns	OECD (2025)
OECD	Electronic fiscal devices	About half of administrations receive data from cash registers or fiscal devices	OECD (2024)

Estonia is widely regarded as a world leader in digital government and ranked sixth of 33 countries in the OECD's 2023 Digital Government Index (e-Estonia, n.d.). Its personal income tax return is pre-filled from government registers, and taxpayers review, amend and sign it digitally, typically in three to five minutes (SCOOP4C, n.d.). The system rests on the X-Road, a secure data-exchange layer in use since 2001 that links public and private registers (Consul General of Estonia in San Francisco, 2024). The X-Road has been exported to other countries and federated with Finland's system (TechCentral, n.d.), which suggests that the architecture, rather than the size of the country, is what transfers. The same infrastructure that pre-fills the tax return holds the employment register discussed below. In Estonia, tax compliance and digital public services are parts of one system.

Estonia introduced its employment register to address envelope wages, which, as in Canada, were concentrated in construction and in accommodation and food services (Eurofound, 2015). Survey-based estimates of revenue lost to envelope wages fell from €154 million in 2013 to €92.5 million in 2014, the register's first year (WageIndicator, 2015). The register also allows workers to confirm that they have been reported. Estonia's entrepreneur account has had modest voluntary uptake, with just over 6,000 users by mid-2022 (ERR News, 2022), and its effects have yet to be established.

The American new-hire system shows how a single report from employers can serve several programs. The same report is used to locate parents who owe child support and to identify people who continue to claim unemployment insurance after returning to work (Department of Justice Canada, 2002; U.S. Department of Labor, 2000). The Department of Justice Canada examined such programs for possible Canadian use in 2002 (Department of Justice Canada, 2002). Canada's closest equivalent today is Service Canada's voluntary Report on Hirings (Employment and Social Development Canada [ESDC], n.d.-b).

7. Tax administration as state infrastructure for benefits

The CRA delivers a substantial share of federal income support in addition to collecting tax. It administers the Canada Child Benefit, the Canada Workers Benefit and the Canada Groceries and Essentials Benefit, which replaced the GST/HST credit on July 3, 2026 (CRA, 2026b). Eligibility for the Canada Disability Benefit requires approval for the Disability Tax Credit and a filed income tax return (ESDC, n.d.-a; Robson & Tedds, 2024).

My recent work with Gillian Petit, Jennifer Robson, David Green, Jonathan Kesselman and Marin Flaim has examined this role. In 2021, Petit, Green, Kesselman and I argued that the CRA had become a benefit delivery agent without an administrative design suited to the task. Reliance on self-assessment misses many eligible people, and an annual return cannot respond to changes in income during the year. We proposed pre-filled returns and real-time reporting (Petit et al., 2021). Our SSHRC evidence brief found that about 12 per cent of working-age Canadians do not file a return, concentrated among people with incomes below the poverty line, and that at least $1.7 billion in benefits delivered through the tax system go unclaimed as a result. We recommended a move from self-assessment to administrative assessment, expanded and automated third-party reporting and real-time reporting through payroll software integrated with the tax authority (Tedds et al., 2022). In 2026, Petit, Robson and I examined the governance gaps that arise when tax filing serves as the administrative infrastructure for benefits without being governed as such (Petit et al., 2026).

The underground economy is one consequence of this broader arrangement. About 80 per cent of the underground personal income tax gap relates to wages paid to employees (CRA, 2026a). When those wages are not reported, the tax goes uncollected and the workers concerned lose access to Employment Insurance, Canada Pension Plan credits and income-tested benefits. Benefits based on annual returns reflect income from six to eighteen months earlier (Helfand, 2025), and during the pandemic the government was unable to verify lost income in real time, particularly for people in precarious and gig work (Tedds et al., 2022).

The CRA is considering an ePayroll system under which employers would report pay for each employee in real time (Helfand, 2025). It should be designed and evaluated as infrastructure for both compliance and benefit delivery, and its evaluation should consider public value, equity and welfare in addition to collection cost and revenue yield, as the MVPF-TaxAdmin framework proposes (Arshad et al., 2026).

8. Relevance to the committee’s mandate

Unreported income affects competition. A business that underreports sales or pays wages in cash can underprice competitors that comply, and the CRA’s 2005 evaluation recorded construction firms’ concern that exemptions from reporting gave some companies this kind of advantage (CRA, 2005).

It also affects access to credit. In its October 2026 report, this committee found that Canada’s small and medium-sized enterprises are “underbanked and overcharged,” receiving 11.6 per cent of outstanding loans in 2021 compared with an OECD average of 44 per cent (Standing Senate

Committee on Banking, Commerce and the Economy, 2026, p. 21). A business that conceals part of its income cannot document that income to a lender, so greater visibility may also improve access to financing.

9. Recommendations

The first four recommendations correspond to those in my opening statement. The fifth is a longer-term step. Each identifies who would act and whether legislative change is likely to be needed.

1. **Build ePayroll and the digital platform rules as shared infrastructure.** ePayroll should be designed to serve compliance and benefit delivery together and should be linked with platform reporting. Evaluations of both should be published, beginning with the platform rules now that the first returns have been filed. *Who acts:* the CRA and Employment and Social Development Canada. Using payroll data for benefit delivery may require amendments to the confidentiality provisions of section 241 of the *Income Tax Act*, depending on design.
2. **Extend visibility where cash sales to final consumers dominate.** The federal government should work with the provinces to apply Quebec's mandatory billing model for GST/HST purposes in sectors with high levels of underground activity. *Who acts:* the Department of Finance and the CRA, with interested provinces. A federal billing requirement would likely require legislation.
3. **Measure what works.** The CRA should restore a regular random audit program for small and medium-sized businesses and the self-employed and publish the results in its tax gap reports. Accredited researchers already have access to de-identified tax-filer data through Statistics Canada's Research Data Centres (Canadian Research Data Centre Network [CRDCN], n.d.), but not to the CRA's audit and compliance data, which is what studies of reporting behaviour require. *Who acts:* the CRA, administratively, for the audit program; the CRA and Statistics Canada for research access, which may require legislative authority.
4. **Enforce existing reporting requirements and make compliance easy.** The 2011 moratorium on penalties for unreported fees for services should end. Fees-for-service, T5018 and T4A reporting, together with other business reporting, should be delivered through a single standard built into certified payroll, accounting and point-of-sale software, so that information is recorded once and reported to every agency that needs it. Reporting obligations should rest with the platforms, payment processors and payers that already hold the information. *Who acts:* the CRA. Ending the moratorium is an administrative decision; developing the standard requires work with software providers.
5. **Longer term: review tax and benefit administration as a single system.** The review should examine a move from self-assessment toward administrative assessment, mandatory new-hire reporting and the governance required when the tax system serves as infrastructure for benefits. *Who acts:* the Government of Canada, through the Department of Finance, the CRA and Employment and Social Development Canada. Mandatory new-hire reporting would require legislation.

10. Safeguards

Expanded third-party reporting raises legitimate concerns about privacy, data security and administrative burden. Most of the measures proposed here extend the kind of information the CRA already receives for every employee through the T4 system. The central questions concern governance, including what information is collected, who may use it and for what purposes, and how it is protected (Petit et al., 2026). Reporting obligations should rest with intermediaries that already hold the data, and filing should be automated wherever possible. Designed on these principles, greater visibility can reduce the reporting burden on compliant businesses.

References

Ainsworth, R. T. (2009). Quebec's sales recording module (SRM): Fighting the zapper, phantomware, and tax fraud with technology. *Canadian Tax Journal*, *57*(4), 715–761. https://www.ctf.ca/common/Uploaded%20files/Documents/PDF/2009ctj/09ctj4-ainsworth.pdf

Arshad, S., Petit, G., & Tedds, L. M. (2026). Policy forum: Beyond cost and yield—The MVPF-TaxAdmin framework for evaluating tax administration reforms through public value, equity, and welfare. *Canadian Tax Journal*, *74*(2), 383–400. https://doi.org/10.32721/ctj.2026.74.2.pf.arshad

Boyer, M. M., & d'Astous, P. (2023). Tax compliance and firm response to electronic sales monitoring. *Canadian Journal of Economics*, *56*(4), 1430–1468. https://doi.org/10.1111/caje.12685

California Employment Development Department. (n.d.). *Independent contractor reporting*. Retrieved October 27, 2026, from https://edd.ca.gov/en/Payroll_Taxes/Independent_Contractor_Reporting

Australian Government. (2012). *Options paper: Use of Standard Business Reporting (SBR) for financial reports*. https://treasury.gov.au/sites/default/files/2019-03/Options_Paper_Financial_Report_Lodgement.pdf

Australian Treasury. (2010, July 1). *Standard Business Reporting opens for business* [Media release]. https://ministers.treasury.gov.au/ministers/chris-bowen-2009/media-releases/standard-business-reporting-opens-business

Canadian Research Data Centre Network. (n.d.). *Longitudinal Administrative Databank*. Retrieved October 27, 2026, from https://crdcn.ca/data/longitudinal-administrative-databank/

Canada Revenue Agency. (2005). *Contract payment reporting system program evaluation study*. https://www.canada.ca/en/revenue-agency/programs/about-canada-revenue-agency-cra/internal-audit-program-evaluation/internal-audit-program-evaluation-reports-2005/contract-payment-reporting-system-program-evaluation-study.html

Canada Revenue Agency. (2022). *Tax gap methodological annex*. https://www.canada.ca/en/revenue-agency/corporate/about-canada-revenue-agency-cra/tax-canada-a-conceptual-study/tax-gap-brief-overview/tax-gap-methodological-annex.html

Canada Revenue Agency. (2026a). *Overall federal tax gap report: Estimates and key findings for non-compliance, tax years 2014–2022* (Catalogue No. Rv4-149/1-2026E-PDF). https://www.canada.ca/en/revenue-agency/corporate/about-canada-revenue-agency-cra/tax-canada-a-conceptual-study/tax-gap-brief-overview/2026-overall-federal-tax-gap-report.html

Canada Revenue Agency. (2026b, April 17). *Canada Groceries and Essentials Benefit one-time top-up payment to make groceries and other essentials more affordable is coming June 5* [News release]. https://www.canada.ca/en/revenue-agency/news/2026/04/canada-groceries-and-essentials-benefit-one-time-top-up-payment-to-make-groceries-and-other-essentials-more-affordable-is-coming-june-5.html

Canada Revenue Agency. (n.d.-a). *Reporting fees for service*. Retrieved October 27, 2026, from https://www.canada.ca/en/revenue-agency/programs/about-canada-revenue-agency-cra/compliance/reporting-fees-for-service.html

Canada Revenue Agency. (n.d.-b). *T1204 slip: Government services contract payments*. Retrieved October 27, 2026, from https://www.canada.ca/en/revenue-agency/services/tax/businesses/topics/payroll/completing-filing-information-returns/t1204-slip-government-services-contract-payments.html

Canada Revenue Agency. (n.d.-c). *T5018 slip: Statement of contract payments*. Retrieved October 27, 2026, from https://www.canada.ca/en/revenue-agency/services/tax/businesses/topics/payroll/completing-filing-information-returns/t5018-slip-statement-contract-payments.html

Canada Revenue Agency. (n.d.-d). *Reporting rules for digital platforms*. Retrieved October 27, 2026, from https://www.canada.ca/en/revenue-agency/programs/about-canada-revenue-agency-cra/compliance/reporting-rules-digital-platforms.html

Consul General of Estonia in San Francisco. (2024). *Estonia: The coolest digital society* [Presentation to the Oregon Legislative Assembly]. https://apps.oregonlegislature.gov/liz/2024R1/Downloads/CommitteeMeetingDocument/280098

Department of Justice Canada. (2002). *Phase 1 report of feasibility study on new hire programs for Canada: New hire programs in the United States*. https://justice.gc.ca/eng/rp-pr/fl-lf/child-enfant/newhi-nemp/p5.html

e-Estonia. (n.d.). *Estonia among the best countries to provide digital public services according to the OECD*. Retrieved October 27, 2026, from https://e-estonia.com/estonia-among-the-best-countries-to-provide-digital-public-services-according-to-the-oecd/

Employment and Social Development Canada. (n.d.-a). *Canada Disability Benefit: Do you qualify*. Retrieved October 27, 2026, from https://www.canada.ca/en/services/benefits/disability/canada-disability-benefit/eligibility.html

Employment and Social Development Canada. (n.d.-b). *Report on Hirings*. Retrieved October 27, 2026, from https://www.canada.ca/en/employment-social-development/services/employers-hiring-report.html

Ernst & Young. (2023, December 1). *Canada's new reporting rules for digital platform operators take effect 1 January 2024* [Tax alert]. https://taxnews.ey.com/news/2023-1975

ERR News. (2022, July 26). *Over 6,000 people have registered entrepreneur accounts in Estonia*. https://news.err.ee/1608667300/over-6-000-people-have-registered-entrepreneur-accounts-in-estonia

Estonian Tax and Customs Board. (n.d.). *Entrepreneur account*. Retrieved October 27, 2026, from https://emta.ee/en/private-client/taxes-and-payment/taxable-income/entrepreneur-account

Eurofound. (2015). *Estonia: Employment register to tackle undeclared work*. https://www.eurofound.europa.eu/et/resources/article/2015/estonia-employment-register-tackle-undeclared-work

Evans, C., Tran-Nam, B., & Zakowska, H. (2012). *Standard Business Reporting: Short term pain for long term gain?* [Final report prepared for CPA Australia]. University of New South Wales. https://treasury.gov.au/sites/default/files/2019-03/Evans-Tran-Nam-Zakowska.pdf

Giles, D. E. A., & Tedds, L. M. (2002). *Taxes and the Canadian underground economy* (Canadian Tax Paper No. 106). Canadian Tax Foundation.

Helfand, N. (2025). *Exploring the potential role of ePayroll in income-tested benefit and support programs*. Maytree. https://maytree.com/wp-content/uploads/E-payroll-October-2025.pdf

HM Revenue & Customs. (2014, April 8). *One year on: Modernising PAYE with real time information*. https://www.gov.uk/government/publications/issue-briefing-one-year-on-modernising-paye-with-real-time-information/one-year-on-modernising-paye-with-real-time-information

HM Revenue & Customs. (2026, June 23). *Measuring tax gaps 2026 edition: Tax gap estimates for 2024 to 2025*. https://www.gov.uk/government/statistics/measuring-tax-gaps

Income Tax Act, R.S.C. 1985, c. 1 (5th Supp.), s. 241.

Income War Tax Act, S.C. 1917, c. 28.

Internal Revenue Service. (2022). *Tax gap estimates for tax years 2014–2016 (and projections for tax years 2017–2019)* (Publication 5364, Rev. 10-2022). https://www.irs.gov/pub/irs-pdf/p5364.pdf

KPMG. (2025). *HMRC report: The 2023/24 tax gap has fallen to 5.3 percent*. https://kpmg.com/uk/en/insights/tax/tmd-hmrc-report-the-2023-24-tax-gap-has-fallen-to-5-3-percent.html

Kleven, H. J., Knudsen, M. B., Kreiner, C. T., Pedersen, S., & Saez, E. (2011). Unwilling or unable to cheat? Evidence from a tax audit experiment in Denmark. *Econometrica*, *79*(3), 651–692. https://doi.org/10.3982/ECTA9113

Kleven, H. J., Kreiner, C. T., & Saez, E. (2016). Why can modern governments tax so much? An agency model of firms as fiscal intermediaries. *Economica*, *83*(330), 219–246. https://doi.org/10.1111/ecca.12182

Luo, D., Desjardins, E., & Provenzano, M. (2024). *The underground economy in Canada, sources and methods* (Income and Expenditure Accounts Technical Series, Catalogue No. 13-604-M2024002). Statistics Canada. https://www150.statcan.gc.ca/n1/pub/13-604-m/13-604-m2024002-eng.htm

OECD. (2024). *Tax administration 2024: Comparative information on OECD and other advanced and emerging economies*. OECD Publishing. https://doi.org/10.1787/2d5fba9c-en

OECD. (2025). *Tax administration 2025: Comparative information on OECD and other advanced and emerging economies*. OECD Publishing. https://doi.org/10.1787/cc015ce8-en

Petit, G., Tedds, L. M., Green, D., & Kesselman, J. R. (2021). Policy forum: Re-envisaging the Canada Revenue Agency—From tax collector to benefit delivery agent. *Canadian Tax Journal*, *69*(1), 99–114. https://doi.org/10.32721/ctj.2021.69.1.pf.petit

Petit, G., Tedds, L. M., & Robson, J. (2026). Policy forum: Tax filing as state administrative infrastructure—Governance gaps in Canada's tax-based benefit system. *Canadian Tax Journal*, *74*(2), 401–418. https://doi.org/10.32721/ctj.2026.74.2.pf.petit

Pomeranz, D. (2015). No taxation without information: Deterrence and self-enforcement in the value added tax. *American Economic Review*, *105*(8), 2539–2569. https://doi.org/10.1257/aer.20130393

Regulation to amend the Regulation respecting construction contracts of public bodies, (2011) G.O.Q. II, 2540. https://www.publicationsduquebec.gouv.qc.ca/fileadmin/gazette/pdf_encrypte/lois_reglements/2011A/1629.pdf

Revenu Québec. (2013, February 14). *Tax evasion in the restaurant sector: Revenu Québec pleased with the results one year after making SRMs mandatory in the restaurant sector* [News release]. https://www.newswire.ca/news-releases/tax-evasion-in-the-restaurant-sector---revenu-quebec-pleased-with-the-results-one-year-after-making-srms-mandatory-in-the-restaurant-sector-511956701.html

Revenu Québec. (n.d.-a). *Mandatory billing: Required equipment*. Retrieved October 27, 2026, from https://www.revenuquebec.ca/en/businesses/sector-specific-measures/mandatory-billing/mandatory-billing-required-equipment/

Revenu Québec. (n.d.-b). *Construction contracts* [Attestation de Revenu Québec]. Retrieved October 27, 2026, from https://www.revenuquebec.ca/en/businesses/sector-specific-measures/attestation-de-revenu-quebec/contracts-authorization-and-licence-requiring-an-attestation/construction-contracts/

Robson, J., & Tedds, L. (2024). The Canada Disability Benefit: Battling ableism in design and implementation. *Osgoode Hall Law Journal*, *61*(2), 577–608. https://doi.org/10.60082/2817-5069.4014

Ryan. (2011, March). *Revenu Québec information bulletin for restaurateurs throughout Québec*. https://ryan.com/canada/about-ryan/news-and-insights/2011/march/revenu-quebec-information-bulletin-for-restaurateurs-throughout-quebec/

SCOOP4C. (n.d.). *Electronic tax filing (e-Tax)* [Estonia case description]. Retrieved October 27, 2026, from https://scoop4c.eu/node/202

Schuetze, H. J. (2002). Profiles of tax non-compliance among the self-employed in Canada: 1969 to 1992. *Canadian Public Policy*, *28*(2), 219–237. https://doi.org/10.2307/3552326

Slemrod, J. (2019). Tax compliance and enforcement. *Journal of Economic Literature*, *57*(4), 904–954. https://doi.org/10.1257/jel.20181437

Standing Senate Committee on Banking, Commerce and the Economy. (2026). *[Report on access to credit and capital markets for small- and medium-sized enterprises]*. Senate of Canada. https://sencanada.ca/content/sen/committee/451/BANC/Reports/BANC_FINAL_RPT_SS-3_SMEs_e_web.pdf

Standard Business Reporting. (n.d.). *About SBR*. Australian Business Register. Retrieved October 27, 2026, from https://www.sbr.gov.au/about-sbr/about-us

Statistics Canada. (2025, March 18). The underground economy in Canada, 2023. *The Daily*. https://www150.statcan.gc.ca/n1/daily-quotidien/250318/dq250318c-eng.htm

Tedds, L. M., Flaim, M., & Petit, G. (2022). *Canada Revenue Agency and tax administration: Re-envisioning tax and benefit administration in the age of digitalization* [Evidence brief]. Social Sciences and Humanities Research Council; Future Skills Centre. https://sshrc-crsh.canada.ca/society-societe/community-communite/ifca-iac/evidence_briefs-donnees_probantes/skills_work_digital_economy-competences_travail_economie_numerique/tedds_flaim_petit-eng.aspx

Tax Policy Associates. (2026, July 1). [Analysis of the UK small-business tax gap and HMRC's random enquiry program]. https://taxpolicy.org.uk/2026/07/01/andy-burnham-tax-gap-15bn/

TechCentral. (n.d.). *Estonia's global benchmark for e-government*. Retrieved October 27, 2026, from https://www.techcentral.ie/estonias-global-benchmark-for-e-government

Telfa. (n.d.). *"EUR 1000 invoices"* [Estonian VAT return annex KMD INF]. Retrieved October 27, 2026, from https://www.telfa.law/?p=6001

U.S. Department of Labor, Employment and Training Administration. (2000). *New hires systems improve integrity* (Unemployment Insurance Program Letter No. 36-00). https://www.dol.gov/sites/dolgov/files/ETA/advisories/UIPL/2000/UIPL36-00.html

WageIndicator. (2015, May 30). *Estonia: Reduction of envelope wages*. https://wageindicator.org/ai/work/collective-bargaining-agreement/updates/2015/estonia-reduction-of-envelope-wages-may-30-2015/

HOW TO CITE

Tedds, Lindsay M. 2026. "Compliance by Design: Why Businesses Fail to Report Income, and Why the Answer Lies in Tax Administration as State Infrastructure." Opening remarks and brief to the Standing Senate Committee on Banking, Commerce and the Economy, October 28, 2026. FACT Policy Brief. Fair and Accountable Canadian Taxation Partnership. https://factpartnership.ca

The author appears before the committee as an individual. The views expressed are the author's and do not necessarily represent those of FACT partners or funders.

This brief is an output of the Fair and Accountable Canadian Taxation (FACT) Partnership, a national research and knowledge-mobilization initiative examining the fairness and accountability of Canada's tax and benefit system. FACT brings together researchers at the University of Calgary, Carleton University and the Université de Sherbrooke with the Canadian Tax Observatory and Social Capital Partners. The FACT Partnership is supported in part by funding from the Social Sciences and Humanities Research Council of Canada (Partnership Development Grant 890-2025-0173).